

Self-Employed Income Guide

How to document your income for loan and mortgage applications — what lenders actually want to see

Why Self-Employed Applications Are Different

Traditional lenders are built around T4 employment income. When you're self-employed, your stated income, taxable income, and gross revenue can all be very different numbers — and lenders need to know which one to use. This guide explains exactly what documents to prepare.

The 3 Types of Self-Employed Income

Sole Proprietor / Partnership

- Income = Net business income on your T1 General (Line 13500)
- Lenders use your NOA to verify — 2 years minimum required
- Write-offs reduce your taxable income and your mortgage power

Incorporated (Corporation)

- Income = T4 salary + dividends you pay yourself
- Corporate retained earnings do NOT count unless you pay them out
- Lenders want 2 years of T1 Generals AND corporate financials

Stated Income Programs

- Some lenders allow income to be 'stated' without full verification
- Requires strong credit (680+), larger down payment (20%+)
- Higher rates apply — typically 0.5–1.5% above prime

Documents Checklist — Standard Application

- Last 2 years T1 General (complete tax return, all schedules)
- Last 2 years Notice of Assessment (NOA) from CRA
- Last 6 months personal bank statements
- Last 6 months business bank statements
- HST/GST account number and filing history
- Contracts or client letters proving ongoing work (if available)
- Letter from accountant confirming business is active and viable
- Business registration or incorporation documents

- Recent invoice or payment receipts (showing active business)

Documents for Incorporated Businesses

- Last 2 years corporate financial statements (T2 corporate return)
- Shareholder agreement (if multiple owners)
- Director resolution authorizing mortgage application
- Corporate bank statements (last 6 months)
- Accountant-prepared income confirmation letter on letterhead

How Lenders Calculate Your Income

Method 1: 2-Year Average (Most Common)

- Add NOA line 15000 (total income) for Year 1 + Year 2
- Divide by 2 — this is your qualifying income
- Example: $\$80K + \$100K = \$180K / 2 = \$90K$ qualifying

Method 2: Most Recent Year Only

- Some lenders use only the most recent T1 if income is trending up
- Requires strong justification — business must be growing

Method 3: Gross Revenue (Alternative Lenders)

- B-lenders and private lenders may use a percentage of gross revenue
- Typically 35-50% of gross revenue used as qualifying income
- Rates are higher but more accessible for new businesses

Common Mistakes That Kill Applications

- Writing off too much — lower taxable income = lower mortgage qualification
- Mixing personal and business accounts — always keep them separate
- Missing HST/GST filings — lenders verify your CRA account is current
- Applying at only one bank — brokers have access to 40+ lenders
- Not having 2 full years of returns — timing your purchase matters
- Large unexplained deposits in bank statements

The Self-Employed Advantage

Self-employed Canadians often qualify for better rates than they expect — especially with an experienced mortgage broker who specializes in this space. Paul Malandrino, Mortgage Agent Level 2 (FSRA #M25000307) at Vaughan Mortgage Group has a trades and construction background and specializes in self-employed and

bank-declined borrowers across the GTA. Book a free consultation at vaughanmortgagegroup.ca

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